

Product safety and consumer wellbeing

To ensure the safety of our products throughout their life cycle we monitor them very carefully, from first design and manufacture through to distribution, use and disposal. This program is managed by our network of regulatory and safety, health and environmental teams, who ensure we are fulfilling both our statutory and voluntary obligations.

Our products must comply with national and international requirements on product conformity, chemical safety and registration. These regulations are continually evolving. As well as complying with existing regulations, we frequently play an active part in developing improved compliance standards and guidelines for the wider production and use of chemicals and materials. To this end we are represented at a number of national and international standards committees which oversee the development, approval and use of chemicals and materials.

Managing the end of the Brexit transition period on 31 December 2020 was important to maintain our product safety program. It required us to transfer EU REACH (Registration, Evaluation, Authorization of Chemicals) registrations held under our UK legal entity to our legal entity in France. This process was completed before the end of year deadline. St Mihiel is now our only legal entity for EU REACH compliance. At the same time, we made the necessary preparations to ensure compliance with the new UK REACH regulations that came into force on 1 January 2021.

Resources were also directed towards completing all pre-registrations of substances imported into Turkey under KKDIK, the Turkish REACH program. These were completed before the 31 December 2020 deadline.

We continued with our program to review and update our existing European Union REACH registration dossiers in line with the European Chemical Industry Council (CEFIC) Dossier Improvement Plan. This is a legal requirement to review and update registrations with any new information

and assess its impact on safety to workers, consumers and the environment. Over 50 registration dossiers were updated and resubmitted in 2020.

Responding quickly to requests from the European Chemical Agency (ECHA) for more information on our REACH registered substances is an integral part of the ongoing compliance checking and evaluation processes embodied within REACH. We take these obligations seriously.



"Our people working in regulatory are drawn from many different disciplines. We have an expert scientist with many years' experience in environmental science heading up and guiding our technical team. This team includes two young and upcoming professional scientists, one of which is about to complete her masters in toxicology, providing expertise in human health and the other about to start a post graduate diploma in environmental toxicology. The combination delivers an excellent mix of compliance knowledge. It's a strong team of which we are very proud."

Ian Callan
Head of Global Regulatory Compliance Innospec



Product **stewardship**

Providing adequate information to the users of our products is central to our stewardship activities. We provide customers with additional technical information on product safety beyond the regulatory requirement of safety data sheets (SDS). This helps our customers to understand more about the manufacture and testing of our products.

We use Intelligent Authoring®, an expert software system supplied by Sphera that provides a global regulatory information system for our products. The system supports a number of aspects of our product stewardship, including creation of SDSs in multiple languages, label creation, national inventory compliance and classification conformity for all the products that we sell. The approach is supported by our ComplyPlus web-based integrated management system that allows the storage, retrieval and archiving of SDS documents globally for all businesses in one location. In addition, our DISC software automatically sends customers an updated SDS if any changes are made to the document.

We are committed to minimizing the environmental impact of our products through all stages of their development. Our regulatory team are involved at the early stages of research and development to ensure that any new product is properly supported from its initiation. Through careful product stewardship we aim to deliver increased performance and value without harming people or the environment.

We conduct detailed product testing for customers based on their own specific operational requirements. In 2020, two initiatives demonstrated how one of our products is contributing to reducing emissions, increasing engine performance and improving fuel economy in both China and the UK. From trucks to trains we are making an impact.



ECOCLEAN™ improves fuel economy

An independent trial is ongoing in China to assess the benefits of adding our high-performance fuel additive ECOCLEAN™ to standard diesel fuel. A series of commissioned tests have taken place under the direction of the Research Institute of Petroleum Processing at the National Automotive Quality Supervision and Inspection Center in Tongzhou, Beijing.

Following test protocol GB/T 12545.2, a standard Jiefang heavy duty truck carrying an 18,000 kg load was driven at a range of speeds. This was initially carried out using China's National VI standard diesel with no additive and then repeated using the standard diesel treated with ECOCLEAN™.

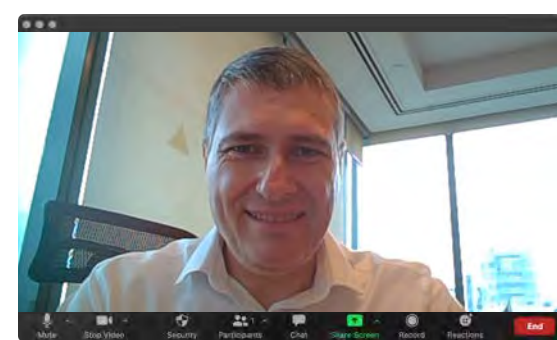
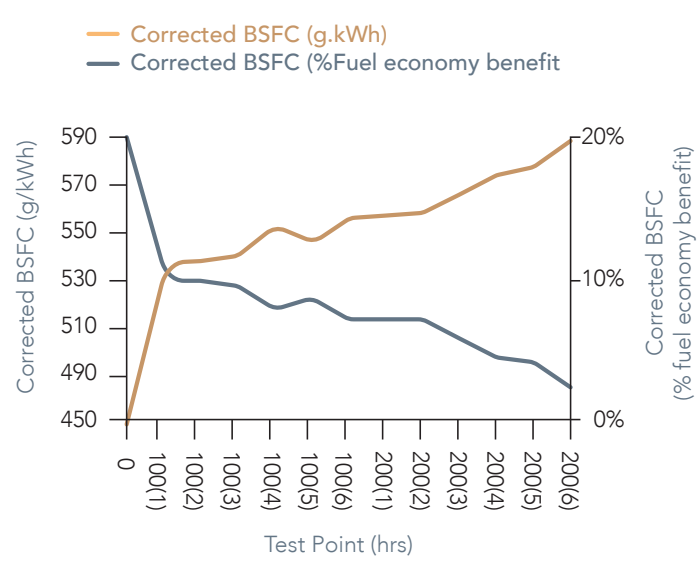
Our technical team were able to demonstrate an average fuel saving of 3.71% attributable to using ECOCLEAN™. This saving was consistently achieved over a range of speed points, replicating a typical truck operation. The trial demonstrated that a truck would save approximately 1,187 liters of fuel over a 100,000 km distance.

ECOCLEAN™ cuts CO₂e emissions

After carrying out one of the most comprehensive fuel additive tests in the UK, the train operator ScotRail (UK) will be using ECOCLEAN™ across its entire diesel fleet. Introducing the additive is projected to deliver over 3% in fuel savings for ScotRail annually. This translates to a projected annual reduction of; 3,676 tonnes of CO₂e, 3.7 tonnes of methane and 41 tonnes of nitrous oxide.

The initiative is helping the company meet its sustainability target of eliminating all carbon emissions by 2035. ScotRail operates a diverse fleet of diesel and electric trains and over 350 rail stations in Scotland. It is continually investing in energy efficient technologies.

MTU 183TD Corrected BSFC, 0 to 200 hours with ECOCLEAN™ HSDI at Idle Engine Speed



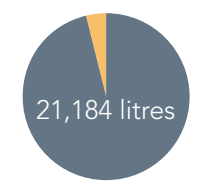
"We often work in partnership with our customers to gather application specific data. This is all part of our customer service ethos. Our initial results on fuel economy identified during the China trial were excellent, 3.7% is a significant reduction. On the back of this success there is now more work to do, so the project is still ongoing."

Ramzi Jouaneh Regional Director Asia Pacific

Fuel Saving in heavy and medium duty cycles with ECOCLEAN™

Innospec's technical team were able to demonstrate an average fuel saving of 3.71% attributable to the use of ECOCLEAN™.

Medium Duty
816 litres saving



Typical fuel consumption of medium duty 22 litres/100km ie 22,000 litres fuel usage for 100,000km and a saving of 816 litres for every 100,000km

Heavy Duty
1,187 litres saving



Typical fuel consumption of heavy duty 32 litres/100km ie 32,000 litres fuel usage for 100,000km and a saving of 1,187 litres for every 100,000km



Responsible Care®
OUR COMMITMENT TO SUSTAINABILITY

Responsible Care®

The global chemical industry has been driving continuous improvement in health, safety and environmental performance for the last 30 years through its Responsible Care® initiative. Today it is practiced in nearly 70 economies in six continents around the world. We are a long-term participant and signatory to the International Council of Chemical Association's (ICCA) Responsible Care® Global Charter. We have also been a member of the UK Responsible Care® program since it started in 1988. Our Innospec Fuel Specialties LLC operations in the US have held their Responsible Care® management system certification since 2007.

Going forward Responsible Care® will continue to provide a roadmap to help make the chemical industry safe, transparent and sustainable. People around the world want to understand what is in the products they buy and that they are produced safely.

Responsible Care in Practice

We demonstrate our commitment to Responsible Care® in many different ways. For example, we chaired an industry working group of the Petroleum Additive Manufacturers in Europe (ATC), which is an affiliate member of the European Chemical Industry Council (CEFIC). The working group, made up of representatives of manufacturers and customers, created a Best Practice Manual for the safe handling of the cetane number improver (CNI) 2 ethyl hexyl nitrate.

Based on this best practice we developed our own Innospec CNI Product Safety Manual for our supply chain distributors and customers alongside an online training awareness package. To further strengthen our product stewardship in this area, we introduced the requirement for all distributors and customers to review the manual and complete the training package as a condition of sale. Our commitment to helping customers apply these safety guidelines continues after the product has been supplied.



Employees

Investing in our employees

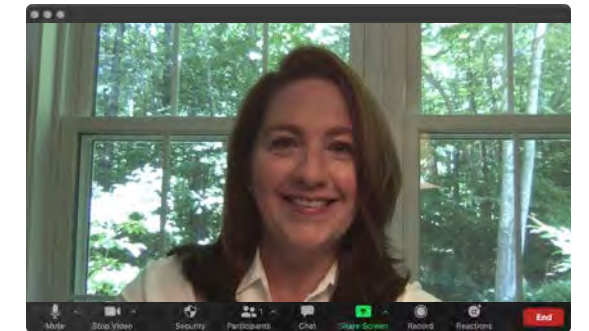
Our business is built on the hard work, skills and expertise of our people. This was never more apparent than in 2020 when our people rose to the challenge of the pandemic. We adapted to new ways of working and utilized innovative solutions for collaborating with colleagues, customers, partners and local communities.

There is no doubt that investing in the growth and development of our employees helps us achieve long term success. We want them to have the skills, commitment and enthusiasm to grow our business and add value for our shareholders. We also want our workforce to be sustainable.

As a company, we are proud of our high levels of employee retention. We have many employees who have been with us for over five years and 40% who have worked with us for over 10 years. Our senior management team is also well established. This helps to create a business culture built around strong relationships. It benefits both our employees and our customers.

We want Innospec to be an attractive career choice for both new recruits and long-term employees. The ability to attract and retain a skilled and diverse workforce is essential to create a culture of innovation and creativity. We recognize that operating as a responsible business is a minimum expectation for people when looking for potential career opportunities. Prospective employees consider a wide range of issues before applying for a job with Innospec such as our commitment to environmental programs, supporting local communities and employee training and development opportunities.

In 2020, we appointed Keller Arnold, as a Non-Employee Director to our Board of Directors. Keller brings valuable skills and experience in financial leadership, revenue growth and corporate development and an extensive knowledge of the specialty chemicals industry.



"It's an exciting time as companies bring sustainability and environmental responsibility to the forefront of their business practices and corporate vision. We all have a responsibility to use our collective creativity and resources to do the right thing for all of our stakeholders. The time is past where sustainability and profitability are seen as competing objectives – we can and will do both. Innospec has been a leader in this area for many years by providing innovative, safe and sustainable products that have a positive impact on both the environment and society.

As a new member of the Board, I look forward to being a strong supporter of Innospec's continued sustainability journey."

Keller Arnold

Non-Employee Director, Innospec Board,
Appointed 2020

Environment

Conserving and protecting

Our focus area for the Environment is:

Minimizing impact

Seeking to understand and reduce the impact of our activities, while developing innovative products to help protect the environment.

What's next?

To further develop our strategy to reduce our impact on the environment is a priority going forward.

Read more about our plans to continue to reduce Greenhouse Gas emissions, reduce energy and water consumption, and recover and reuse waste streams.

[Find out more on page 45 >](#)



100%

Renewable electricity

Last year we made a commitment to source all electricity used at our European manufacturing sites from renewable sources. We have not

only met this target but exceeded it. In 2020, all global manufacturing sites sourced their electricity from renewable sources. As a result, our scope 2 Greenhouse Gas (GHG) emissions from the electricity used at our manufacturing sites is now zero.

What you will find in this section of the report

[Our environmental dashboard >](#)

[How we minimize our environmental impact >](#)

[Reducing energy, saving water and handling waste >](#)

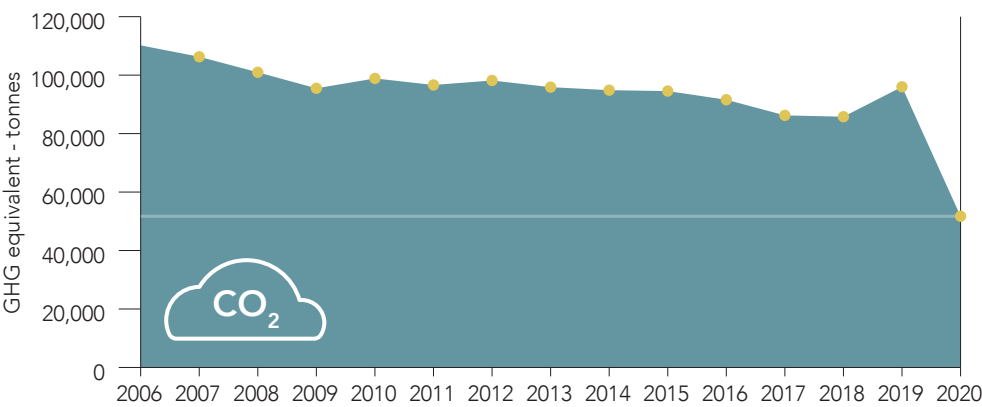
[Independent verification >](#)



Environmental dashboard

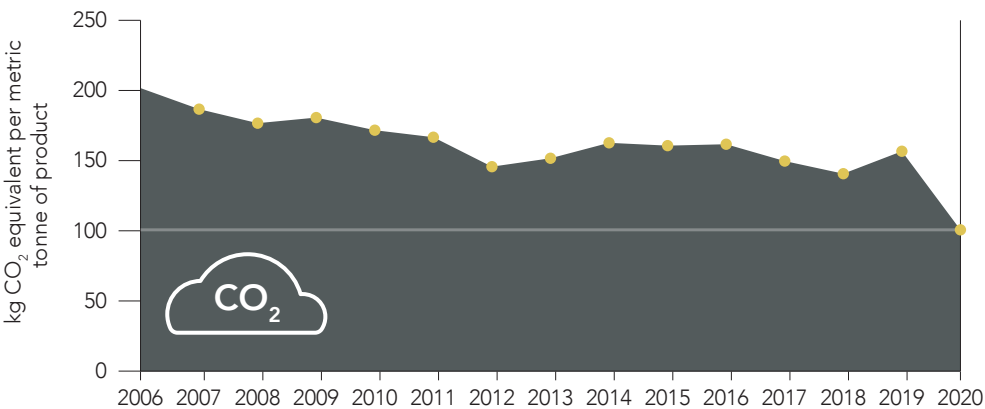
Absolute GHG Emissions

- 51,728 metric tonnes CO₂ equivalent (Scope 1 and 2*)
- 46% reduction since 2019
- 53% reduction since 2006**



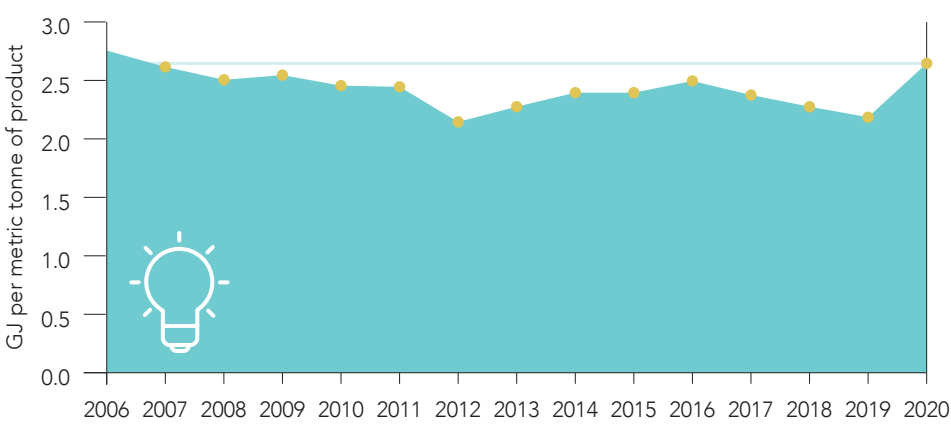
GHG Emissions

- 101 kg CO₂ equivalent per metric tonne of product (Scope 1 and 2*)
- 36% decrease since 2019
- 50% decrease since 2006**



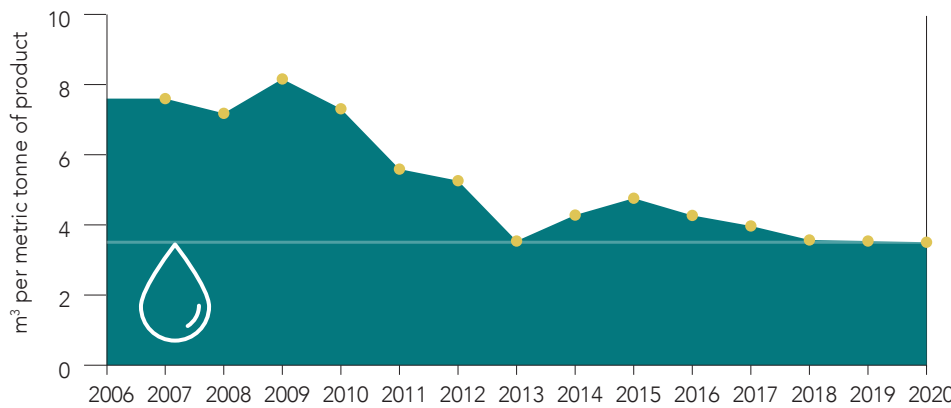
Energy use

- 2.66 GJ per metric tonne of product
- 21% increase since 2019
- 4% decrease since 2006**



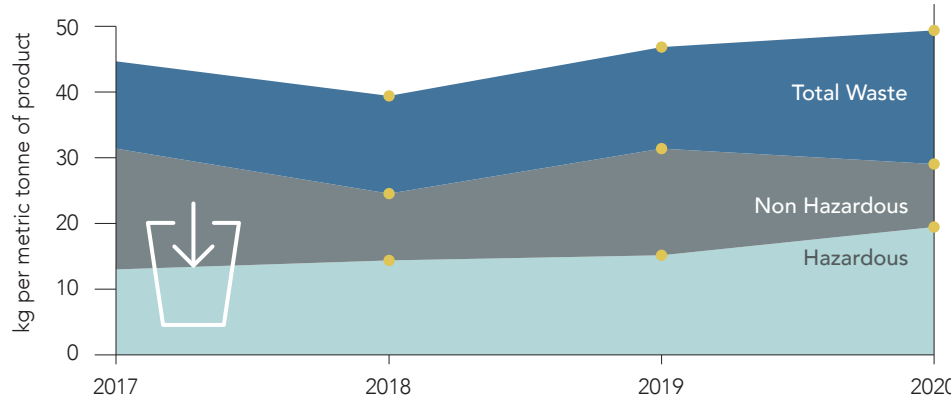
Water use

- 4.03 m³ per metric tonne of product
- 14% increase since 2019
- 47% decrease since 2006**



Total waste

- 50 kg per metric tonne of product
- 5% increase since 2019
- 10% increase since 2017**



*Our emissions are calculated using the reporting year's UK DEFRA and IEA emission conversion factors for greenhouse gas reporting. The reporting of scope 1 and 2 emissions is in line with the GHG Protocol Standard. In previous years we have applied location based factors to our scope 2 reporting. In 2020, we have changed to the use of emission factors in line with the GHG Protocols Scope 2 Guidance for Market Based reporting and applied to all reported years.

** Base line reporting year

Minimizing our impact

We are committed to using resources as efficiently as possible and minimizing the impact of our operations on the environment. We continuously review advancing technologies and processes so that we can actively seek out opportunities to improve our performance. We also look to improve the sustainability of our products and help our customers respond to environmental challenges through innovation and improved product performance.



“Through the efforts of all of our employees, despite the pandemic, our environmental objectives remain on track. The fact that all of the electricity at all our manufacturing sites is now from renewable sources is one great step on our journey to redefine our carbon footprint. The already high profile of and focus on, energy, water and waste reduction, will be further developed in 2021 through the application of innovative and new techniques.”

Peter Shields
Group Safety, Health and Environment Director

We have been monitoring and publicly reporting on our environmental performance since 2006. Each year, we report on our impact across the four key areas of Greenhouse Gas (GHG) emissions, energy use, water use and hazardous waste. Since this time, significant reductions have been made in our GHG emissions, energy and water usage.

2020 has created challenges with our approach to environmental performance reporting, which is presented on an intensity, per tonne of product produced basis. The collapse in oil prices followed by the impact of the pandemic reduced worldwide demand. As to be expected, both our Fuel Specialties and Oilfield Services businesses suffered from a dramatic drop in customer demand and hence production volumes were lower than previous years. Although this has led to lower emissions, this has resulted in the overall intensity of our operations increasing for some aspects and a lower reduction in intensity for others when compared to previous reporting years.

Energy Use and Greenhouse Gas Emissions

We recognize the important contribution that businesses can make in helping to reduce global GHG emissions and reduce the risk of climate change. Our climate change position statement is available on our website and sets out our commitment to reducing GHGs. We have made significant reductions in our carbon emissions since our 2006 baseline year.

In 2020, following a change in methodology*, we reduced our absolute Scope 1 and 2 GHG emissions by 46% since 2019 and 53% since 2006. Our GHG emissions intensity decreased by 36% since 2019 and 50% since 2006.

Although a number of our facilities reduced their absolute energy consumption in 2020, the overall reduction in production volume was greater. Our production plants aim to use energy as efficiently as possible; however, they do need a minimum amount of energy to operate. Where production volumes fall below optimum levels, this has an adverse impact on consumption and thereby emissions data. For 2020, this resulted in a 21% increase in the energy use per tonne of product produced since 2019, however a saving of 4% has still been achieved versus the 2006 base year.

In 2020, we have continued to deliver a range of activities and investments to further improve our energy efficiency and reduce our GHG emissions.

Switching to the procurement of 100% renewable electricity at all our manufacturing sites resulted in a significant reduction in our absolute GHG emissions in 2020. Renewable energy now accounts for 27% of Innospec’s total energy mix.

Our global Energy Reduction Group (ERG) is responsible for maintaining a pipeline of energy reduction projects and the sharing of ideas and best practice across the sites. This includes capital investment projects and local initiatives. A dedicated energy reduction fund is made available each year for capital investment projects that support energy reduction projects where the payback period is accepted as being longer than would normally be required. The fund

targets projects that could help deliver our 2019 to 2020 objective of achieving a 2% (1,104 metric tonnes) reduction in our scope 1 and 2 emissions, based on a 2015 baseline, by the end of 2020.

Going forward, our energy reduction projects and activities implemented during 2019 and 2020 are forecast to reduce annual energy consumption by over 4,033 Mwh and reduce our total group scope 1 and 2 emissions by 30,922 metric tonnes CO₂ equivalent. As a result, we have far exceeded our original target of 2%, instead achieving a 56% reduction based on 2015 baseline.

Projects for 2020 included the optimization of the wastewater bio plant heating system at our site in Castiglione, Italy which will provide a saving of 500,000 kWh in gas usage per year. The site also replaced a rotary engine and increased vacuum efficiency on their Ecodrier plant which in addition to improved overall plant productivity also reduces energy consumption by 350,000 kWh per year.

Improvements made to the air compressor efficiency at our manufacturing facility in St Mihiel, France will reduce electricity demand by 85,000 kWh a year. They also completed upgrades to storage tank insulation systems which will save 140,160kWh of gas per year.

At our site in Ellesmere Port, UK work continued in 2020 on the rationalization and replacement of the site’s ageing electrical infrastructure with the upgrade of three further substations, saving 272,000 kWh of electricity each year. The site also made improvements to the compressed air system, reducing electricity consumption by 181,300 kWh per year. The replacement and upgrade of the lagging system on the sites steam heated storage tanks will provide an additional saving of 35,000 kWh in gas each year. The Ellesmere Port site also switched their fleet of diesel vans to electric vans powered by 100% renewable electricity.

Our supply chain teams continued their efforts to reduce our shipping mileage and the associated emissions by bringing the production of certain products closer to



Responsible Consumption and Production

Monitoring and measuring the impact we have on the environment has been a long-standing core element of our sustainability strategy. We are committed to using resources as efficiently as possible, promoting sustainable consumption and minimizing the impact of our operations on the environment. We also look to increase the sustainability of our products and help our customers respond to environmental challenges through innovation and improved product performance.

*Our emissions are calculated using the reporting year’s UK DEFRA and IEA emission conversion factors for greenhouse gas reporting. The reporting of scope 1 and 2 emissions is in line with the GHG Protocol Standard. In previous years we have applied location based factors to our scope 2 reporting. In 2020, we have changed to the use of emission factors in line with the GHG Protocols Scope 2 Guidance for Market Based reporting and applied to all reported years.

our customers. The manufacture of four key products, supplied to our European customers, was moved from our manufacturing facility in North Carolina, US to our Ellesmere Port, UK plant. This helped our Performance Chemicals business to save approximately 85% on the corresponding shipping mileage and associated GHG emissions. Similarly, our Fuel Specialties business saved approximately 51% on shipping miles and associated emissions for a product by moving its production from India to Barcelona, Spain and so closer to the customer base.

Carbon offsetting

As part of our objective to secure renewable energy sources, we purchased Hydro Renewable Energy Certificates (RECS) to offset the 2020 electricity usage at all of our US manufacturing facilities.

Our manufacturing facility in Herne, Germany maintained its carbon neutral status in 2020, through the purchase of 14,000 carbon certificates to offset their 2019 and 2020 energy usage. The certificates are supporting two renewable energy projects involving hydropower in Uganda and wind turbines in India.

For the seventh consecutive year, our Vernon manufacturing facility in France countered the GHG emissions associated with its production energy usage by supporting the planting of trees as part of the TOGO program. The program not only helps to restore areas affected by deforestation, but it also supports the local population thorough the provision of access to water, nutritional food programs and the creation of local jobs.

Water

We recognize the value of using water responsibly. Although none of our facilities that use water in the production process are located in regions of high-water stress, we make sure that we use this valuable resource as carefully and efficiently as possible.

Water usage has reduced steadily over the past 15 years. We are now using 47% less water in our manufacturing than we were in 2006. However, despite a number of sites decreasing their absolute water usage during 2020, overall

SUSTAINABLE DEVELOPMENT GOALS

13 CLIMATE ACTION

Climate Action

Climate change is one of the greatest challenges facing the world today. We understand the impact of GHG emissions on the environment and the important contribution that businesses can make towards their reduction. Innospec contributes to SGD 13 indicators 13.1 and 13.3. We support the wider contributions being made to mitigate climate change though our efforts to reduce emissions from our production processes and also the development of innovative products that help our customers to reduce their emissions.

6 CLEAN WATER AND SANITATION

Clean Water & Sanitation

Responsible water management is extremely important in a world that faces increasing drought conditions and water scarcity. Although none of our facilities that use water in their manufacturing process are located in water-constrained areas, we ensure that we use this valuable resource as carefully and efficiently as possible. Our manufacturing facilities have water reduction and monitoring programs in place so that we can identify and implement actions that will reduce our water usage. We report to CDP on our water security every year.

water usage intensity increased by 14%. As detailed earlier in this section this increase is due to the downturn in customer demand and hence production in both our Fuel Specialties and Oilfield Services businesses, resulting in the reduction in efficiency of water use.

Below are some examples of 2020 activities that helped to reduce our water consumption and improve the quality of wastewater discharge from our sites.

At our High Point, US site, improvements were made to their stormwater handling system. Previously, clean storm water collected on site was directed into the city's wastewater system for treatment. The sites drainage systems were changed to divert this water into the city's storm water drains, removing the need to unnecessarily treat clean rainwater.

Towards the end of 2019, we installed a permanent Dissolved Air Flotation (DAF) pre-treatment unit at our Salisbury plant in the US to help improve wastewater quality. In 2020, this resulted in a 79% reduction in chemical oxygen demand (COD) and a 98% reduction in solids discharged from site to the city's wastewater treatment system.

Our site in Ellesmere Port, UK continued the upgrade of ageing underground water main and distribution pipelines which addressed two significant water leaks. The team in Barcelona, Spain is reducing the amount of water used by further extending the switch from water to steam cleaning and ensuring efficient pressure settings are used.

In Herne, Germany the team have focused their water reduction actions on process optimization. Changes to the washing stage of the manufacturing process of a key new fuel additive product reduced the amount of water needed per batch by 27%. Improvements were also made to the cooling water system to prevent the buildup of lime deposits in the reactors cooling jackets, helping to reduce water consumption by 0.8m³ per batch of product.

In Oklahoma and Pleasanton in the US, the sites are reducing water consumption and eliminating wastewater disposal, by reusing wash water as an alternative to fresh water in compatible product batches.

Minimizing our impact

environment 36